

2.3 BUSINESS CYCLE

MARKING SCHEME

1994/CE/II/35 A	1998/CE/II/27 D	2002/CE/II/28 A (65%)	2008/CE/II/29 A (64%)	2014/DSE/I/39 C (60%)
1994/CE/II/36 D	1999/CE/II/27 D	2004/CE/II/32 A (76%)	2009/CE/II/31 B (91%)	2021/DSE/I/39 D
1995/CE/II/35 A	1999/CE/II/28 D	2005/CE/II/31 A (94%)	2010/CE/II/31 D (89%)	2023/DSE/I/39 A
1996/CE/II/59 D	2000/CE/II/37 D	2006/CE/II/27 A (87%)	2010/CE/II/44 D (65%)	2025/DSE/I/36 A
1997/CE/II/30 A	2001/CE/II/38 C	2007/CE/II/31 D (70%)	2013/DSE/I/33 A (91%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1995/CE/I/7

- Peak / boom / economic prosperity (1)
- high employment rate / low unemployment rate / full employment or close to full employment
 - high consumption level / investment level
 - high production level / national income level
 - price level ↑ / wage rate ↑
 - interest rate ↑

[Mark the **FIRST THREE** points only.] (1@, max: 3)

1995/CE/I/6(a)

- Recession (1)
- negative GDP growth rate / GDP or output decreases (1)
 - increasing unemployment rate (1)
 - falling cost of living (1)

[Mark the **FIRST THREE** points only.]

2008/CE/I/5

- Recovery (1)
- employment increases
 - aggregate demand increases / private consumption expenditure increases / investment increases
 - general price level increases

[Mark the **FIRST TWO** points only.] (1@, max: 2)

2010/CE/I/7

- Recession / contraction (1)
- unemployment (rate) increases
 - aggregate demand decreases / private consumption expenditure decreases / investment decreases
 - inflation rate decreases / deflation / general price level decreases

[Mark the **FIRST TWO** points only.] (1@, max: 2)

2012/DSE/II/6(b)

- falling or even negative real GDP growth
- low / falling inflation or even deflation
- falling business confidence, levels of investment, consumption

[Mark the **FIRST TWO** points only.] (1@, max: 2)

2016/DSE/II/6(c)

- rising real GDP growth rate
- rising inflation / lower deflation
- rising levels of investment / consumption

[Mark the **FIRST TWO** points only.] (1@, max: 2)

2022/DSE/II/11ai

(a) (i) Recession

(1)

Phenomena:

- Falling or even negative real GDP growth
- Low/falling inflation rate or even deflation
- Falling business confidence and levels of investment
- Falling levels of consumption
- Any other relevant point

[Mark the **FIRST** point only.]

} @ 1
max: 1

(a) Recovery

(1)

(b) Economic phenomena:

- rising inflation rate / rising general price level
- falling unemployment rate
- rising consumption/investment
- Any other relevant point

[Mark the FIRST TWO points ONLY.]

} 1@
max: 2